Topic 4B - Consolidated Accounting - Practice Questions

1 Holding PLC owns shares in three companies, X Ltd (40% shareholding), Y Ltd (60% shareholding) and Z Ltd (20% shareholding).

Y Ltd also owns 25% of the shares of Z Ltd.

Holding PLC has a contractual right to appoint two thirds of the board of X Ltd.

Holding PLC has used its voting rights to appoint all of the directors of Y Ltd.

Holding PLC was invited by the directors of Z Ltd to appoint one member to the company's board, which has a total of five directors.

Which companies are subsidiaries of Holding PLC?

A Y only
B X and Y only
C X, Y and Z
D none of the above

2 Company A is a subsidiary of company B if the following conditions apply: -

I B holds a majority of the preference shares of A
II B holds a majority of voting rights in A
III B is a shareholder of A and can control a majority of the board of directors

A I or II only
B II only
C III only
D II or III only

3 Bidder plc acquired all of the shares of Target Ltd for £4.5m.

At the date of acquisition Target Ltd's premises had a fair value of £1m, although their written down value according to its balance sheet was £0.6m.

Other fixed assets were worth £0.8m.
Net current assets were worth £0.1m.
Long term liabilities were worth £1.3m.

The goodwill on acquisition was:

A £2.6m
B £3.0m
C £3.9m
D £4.3m

4 Explain how a holding company would construct a set of consolidated financial statements.

5 You are a financial advisor to Kitchensplus Ltd, a company which manufactures and fits pine kitchens.

Until recently, the company operated as a single company.

In the year under review, it entered into the following arrangements with other companies which will mean that Kitchensplus will be required to prepare group accounts for the first time.

(i) During the year, Kitchensplus purchased 70% of the ordinary share capital and voting rights, in Forestry Ltd.

This is a company which owns sustainable pine forests throughout Scotland.

The activities of the company are completely different from those of Kitchensplus which purchased the shares in order to help safeguard a continuing source of affordable timber to use in the manufacture of its kitchens.

Forestry's annual profits last year were approximately one half of those of Kitchensplus.

(ii) Kitchensplus also acquired shares in Ceramicworks Ltd, a company which manufactures ceramic floor tiles.

The two companies hope to improve profits by selling kitchens and flooring as a complete package.

Kitchensplus could only acquire 49% of the ordinary share capital of Ceramicworks since the original owner of the business, Ms G, wishes to maintain a majority shareholding.

She has remained the chief executive of Ceramicworks and was joined on the board of directors by Mr K, and Ms D, both of whom are also directors of Kitchensplus.

There are no other directors of Ceramicworks.

(iii) The company sells a large proportion of its kitchens in mainland Europe.

Because of transport and distribution problems which the company had been experiencing, it decided to set up its own warehouse in Germany.

The most suitable warehouse was too large for Kitchensplus' needs, so it purchased the building jointly with another UK exporter.

This other exporter, Footfirst Ltd, manufactures and sells shoes.

Each of the two companies uses about one quarter of the warehouse facility, with the remaining space being rented out to local German businesses.

Footfirst and Kitchensplus have equal say in the running of the warehouse which is registered in Germany as Plusfirst.

Cont'd overleaf /….

(iv) Kitchensplus Ltd acquired 25% of the share capital of a small company which was in financial difficulty.

(v) The company, Muffins Ltd, makes baking and cooking equipment.

In relation to each of the arrangements (i) – (iv) above, explain to the directors of Kitchensplus whether each company should be included in Kitchensplus Ltd's group accounts.